2024/2025 RPM Base Residual Auction Results

Introduction

This document provides information for PJM stakeholders regarding the results of the 2024/2025 Reliability Pricing Model (RPM) Base Residual Auction (BRA).

In each BRA, PJM seeks to procure a target capacity reserve level for the RTO in a least cost manner while recognizing the following reliability-based constraints on the location and type of capacity that can be committed:

- Internal PJM locational constraints are established by setting up Locational Deliverability Areas (LDAs) with each LDA having a separate target capacity reserve level and a maximum limit on the amount of capacity that it can import from resources located outside of the LDA.
- Total cleared summer-period sell offers must exactly equal total cleared winter-period sell offers across the entire RTO to ensure that seasonal CP sell offers clear to form annual CP commitments.

The auction clearing process commits capacity resources to procure a target capacity reserve level for the RTO in a least-cost manner while recognizing and enforcing these reliability-based constraints. The clearing solution may be required to commit capacity resources out-of-merit order but again in a least-cost manner to ensure that all of these constraints are respected. In those cases where one or more of the constraints results in out-of-merit commitment in the auction solution, resource clearing prices will be reflective of the price of resources selected out of merit order to meet the necessary requirements.

An LDA was modeled in the BRA and had a separate VRR Curve if (1) the LDA has a CETO/CETL margin that is less than 115%; or (2) the LDA had a locational price adder in any of the three immediately preceding BRAs; or (3) the LDA is EMAAC, SWMAAC, and MAAC. An LDA not otherwise qualifying under the above three tests may also be modeled if PJM finds that the LDA is determined to be likely to have a Locational Price Adder based on historic offer price levels or if such LDA is required to achieve an acceptable level of reliability consistent with the Reliability Principles and Standards.

As a result of the above criteria, MAAC, EMAAC, SWMAAC, PSEG, PS-NORTH, DPL-SOUTH, PEPCO, ATSI, ATSI-Cleveland, COMED, BGE, PL, DAY and DEOK were modeled as LDAs in the 2024/2025 RPM Base Residual Auction. The MAAC, EMAAC, DEOK, BGE and DPL-South LDAs were binding constraints in the auction resulting in a Locational Price Adder for these LDAs. The number of constrained LDAs increased from 3 in the 23/24 BRA to 5 in the 24/25 BRA. A Locational Price Adder represents the difference in Resource Clearing Prices for the Capacity Performance product between a resource in a constrained LDA and the immediate higher level LDA. Table 4 contains a summary of the clearing results in the LDAs from the 2024/2025 RPM Base Residual Auction.